

Kennedy Wilson-Jamison JV Shows Affordable Housing Capital Is Shifting from Subsidy to Structure

The 4,000-unit L.A. partnership reveals how developers are using adaptive reuse and joint venture equity to bypass public funding timelines.

The most important detail in Kennedy Wilson and Jamison's new joint venture to deliver 4,000 affordable housing units in Los Angeles is not the unit count. It is the capital structure. The partnership pairs Kennedy Wilson's Vintage Housing affordable housing platform with Jamison's newly launched Arden Residential division. The first project is the conversion of the former Los Angeles World Trade Center at 350 S. Figueroa Street into 512 affordable units.

That building is a 400,000-square-foot office complex. Adaptive reuse is the vehicle. But the real story is who is providing the equity and what that says about the market for affordable housing capital. Kennedy Wilson is a publicly traded global real estate investment firm with a market cap north of \$2 billion. Jamison is a private Los Angeles multifamily developer with deep local relationships and a track record of large-scale projects.

By forming a dedicated affordable housing JV, both parties are signaling that the traditional model of relying on tax credits, public subsidies, and layered government programs is too slow and too uncertain for the current demand environment. Instead, they are bringing institutional balance sheet equity to bear. Kennedy Wilson's Vintage Housing provides the development infrastructure, regulatory expertise, and capital access. Jamison's Arden Residential provides the local execution capability and pipeline.

The JV structure allows both to deploy capital at scale without waiting for the next Low-Income Housing Tax Credit allocation cycle or city council vote. This matters because affordable housing development in California has been hamstrung by exactly those delays. The gap between the need for units and the flow of public subsidy has widened to the point where private capital is now the marginal source of supply.

Developers who can bring their own equity and underwrite to a lower return threshold are the ones who will deliver units. Those waiting for the next government program will wait longer. The adaptive reuse component is equally strategic. Converting an existing office tower avoids the entitlement risk, construction timeline, and community opposition that ground-up development faces in Los Angeles.

The former World Trade Center is a large, structurally sound building in a downtown location with existing infrastructure. The conversion economics work because the basis is the building's current value, not the cost of new construction. Kennedy Wilson and Jamison are effectively buying a discount on the hard cost of delivering affordable units by repurposing an asset class that has repriced sharply. Who benefits from this structure?

Kennedy Wilson gets a pipeline of fee income and a demonstration of its affordable housing platform's capacity. Jamison gets access to institutional capital and a national partner. The city of Los Angeles gets units delivered without having to write a check. The tenants get housing that might otherwise not exist. Who is exposed? Traditional affordable housing developers who lack balance sheet depth and rely entirely on public subsidy.

They will find themselves competing against JVs that can move faster and underwrite to a lower cost of capital. Also exposed are owners of obsolete office buildings who have not yet found a conversion partner. This deal sets a comp that will attract more capital into adaptive reuse, compressing the window for those who wait. The market should watch whether Kennedy Wilson and Jamison expand the JV beyond the initial 512-unit project.

If they hit their 4,000-unit target, it will confirm that institutional capital is willing to accept the lower returns and higher complexity of affordable housing when the structure is right. If they stall, it will reveal that even well-capitalized JVs cannot overcome the regulatory and construction cost headwinds that define California housing today. This is not a story about a single conversion.

It is a story about capital structure replacing subsidy structure as the primary engine of affordable housing delivery. The developers who control the equity will control the pipeline.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co